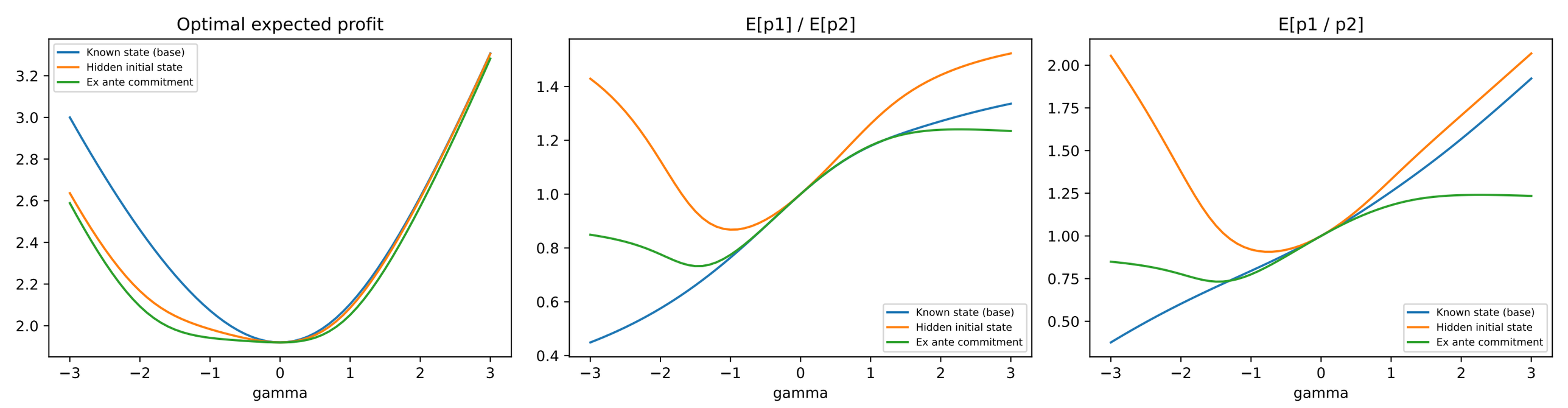
Optimal expected profit
Known state (base)
Hidden initial state
Ex ante commitment
3.2
3.0
2.8
2.6
2.4
2.2
2.0
−3
−2
−1
0
1
2
3
gamma
E[p1] / E[p2]
1.4
1.2
1.0
0.8
0.6
0.4
E[p1 / p2]
2.00
1.75
1.50
1.25
1.00
0.75
0.50